

Problems that can arise from growth

3.3.2.5 Business growth · Mr. Akram — Akademy

Increasing the size of a business does not always lower costs per unit — sometimes a business gets too big.

Diseconomies of scale

Diseconomies of scale occur when output increases too fast and the cost per unit rises. As EasyJet expanded rapidly it risked:

- **Co-ordination & control** — more routes, aircraft, sites and staff are harder to manage.
- **Communication problems** — more layers slow and distort messages.
- **Motivation** — staff feel like a small cog, lowering morale and productivity.

Each pushes unit costs up, undoing the cost advantage growth was meant to deliver.

Internal communication problems

When Microsoft absorbed ~32,000 Nokia employees across new industries and locations, co-ordinating tasks and decisions became far harder — causing confusion, duplicated effort, slower development and higher average costs.

Overtrading

Overtrading is expanding too quickly without the finance to support it — a working-capital / cash-flow problem that can cause failure even when a business is profitable.

Emily's business: turnover £200k, profit £18k, £25k overdraft. She wins a £40k/month contract paid 75 days in arrears and orders all supplies at once. Months 1–2 go well (overdraft raised); month 3 the overdraft hits its limit and suppliers chase payment; month 4 she can't pay suppliers; months 5–6 suppliers sue, the bank stops cheques and the business collapses — profitable, but out of cash.

Overtrading is most likely when a firm grows sales fast, gives customers long credit, pays suppliers quickly and holds too little working capital.

Managing the problems of growth

- Controlled, staged growth matched to management and cash flow.
- Delegation and decentralisation to stay responsive.
- Better communication systems and structures.
- Securing finance and working capital first, and negotiating supplier/customer payment terms.